

UnitedHealth Q2 2025 Earnings

Blind Sentiment & Directional Score: Earnings call Q&A only

David Eji

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases BEFORE the market open. The overnight move is defined as $(\text{release-day Open} \div \text{prior-trading-day Close}) - 1$, the same reaction window shifted because the release lands before trading starts.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Earnings call Q&A only** as the ONLY report content. The other sections (the reported financial results, forward guidance) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	UnitedHealth Group Incorporated (UNH)
Report	Q2 2025
Release date	Tuesday 29 July 2025, BEFORE the market open
Earnings call	8:45am ET
Source	Motley Fool transcript
Read mode	cold; earnings call Q&A extracts only, no reported results, no guidance, no price chart
Time to produce	48 minutes

Source material (read ONLY this)

Earnings call Q&A extracts (assigned source: Q&A only)

1. *"Our current view for 2025 reflects \$6.5 billion more in medical costs than we anticipated"* (Tim Noel, CEO of UnitedHealthcare).
2. *"Optum Health earnings in 2025 are approximately \$6.6 billion below our expectations"* (Patrick Conway, CEO of Optum).

3. *“We do believe that’ll allow us to overcome some of the headwinds... expand those margins to a range of two and a half to three percent”* (Bobby Hunter, Chief Actuary).
4. *“Looking to 2026 at this distance, I would expect solid but moderate earnings growth”* (Stephen Hemsley, CEO).
5. *“We contemplate negative margins at that time anywhere from negative one to negative one point seven percent”* (Tim Noel, on the 2026 Medicaid outlook).
6. *“The framework for our long-term growth outlook remains very much intact”* (Stephen Hemsley, CEO).

Your scoring: fill in below, then seal

1 Sentiment score

Score: +0.30

Rationale. The misses are large but fully quantified and now disclosed, the chief actuary puts numbers on the margin recovery, and the CEO reaffirms the long-term framework.

2 Directional signal

Signal: BUY

Rationale. Once the bad news is this precisely sized, the clearing event is usually behind the stock. BUY.

3 Structured summary

- **What the source shows.** Management quantified both shortfalls and attached a specific margin recovery range.
- **What the source cannot show.** No P&L, so cannot check the disclosed gaps against what was actually earned.
- **Expectations bar.** A market already braced for bad news may treat full disclosure as the bottom.
- **Conviction.** Low-moderate conviction: this is a contrarian read against genuinely poor numbers.

4 Evidence quotes

1. *“Our current view for 2025 reflects \$6.5 billion more in medical costs than we anticipated”* (Tim Noel, CEO of UnitedHealthcare).
2. *“Optum Health earnings in 2025 are approximately \$6.6 billion below our expectations”* (Patrick Conway, CEO of Optum).
3. *“We do believe that’ll allow us to overcome some of the headwinds... expand those margins to a range of two and a half to three percent”* (Bobby Hunter, Chief Actuary).

— SEALED —

Overnight move and call verification

UNH close, 28 July 2025 (prior trading day)	\$282.12
UNH open, 29 July 2025 (release day)	\$265.70
Overnight move	−5.82%

Call verification

- HOLD band test: $|-5.82\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: The move is negative, so the correct directional call is **SELL**.
- Score given vs. correct call: signal was **BUY**, correct call **SELL**, so **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	−5.82%
D+1 close	−7.46%
D+3 close	−11.54%
D+5 close	−14.58%
D+10 close	−10.55%
D+20 close	+8.06%